Opening up the selling process

What open organization principles can teach us about mentoring a new generation of sales talent

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Executive summary

- The traditional, 11-step selling has existed for decades, but applying open organization principles and modern CRM technologies can significantly enhance it.
- Open organization principles—transparency, adaptability, collaboration, inclusivity, and community—should be embedded in every step of the process to improve outcomes and help salespeople build long-term relationships with customers.
- The work of prospecting benefits from greater openness by expanding a salesperon's reach and encouraging dialogue; using CRM systems can help identify, segment, and prioritize leads more effectively.
- Openness also enhances trust-building activities, which is critical when salesperson and customer approach their interactions with a conflict of interest.
- Sales managers should function as open leaders, focusing on coaching behaviors and activities rather than merely outcomes, using transparent processes to track effort and reward performance.
- Effective sales leadership emphasizes training, repetition, and intrinsic motivation rather than relying solely on incentives or pressure.
- Clear, transparent performance standards and collaborative goal-setting improve accountability and alignment across the sales team.
- Combining clear, repeatable, structured processes with open principles and CRM capabilities leads to more effective, scalable, and satisfying sales practices.

Introduction

The fundamentals of the selling process have changed surprisingly little over the last 40 years. But new technologies—and open organization principles—might help us rethink how we engage that process.

Upon graduation from a Japanese university, I started working for a major Japanese truck manufacturer. After a few years on the job, the leadership of overseas sales operations learned their customers, the overseas dealership sales staff, were unaware of the vehicles' unique selling points and how those vehicles differed from both previous models and competing products. They weren't presenting that product information to the customers.

So company leadership asked me to develop a product training program for them. While writing those training materials and speaking with employees in the sales department, I learned that they weren't just unfamiliar with the products; they also lacked a basic understanding of the selling process and their daily sales activities. And that led me to create another resource: a manual of activities relevant to selling vehicles.

I started delivering sales seminars to salespeople around the world. And from those seminars, the training material grew even more. Learning of the need for sales management training, I developed a sales management training program for organizational leaders and coaches of salespeople.

I originally wrote that selling process manual and gave my first seminar in Singapore in 1985. Much has changed since then—and yet some things haven't, including the fundamentals of a sound selling process. In this guide, I review that process just as I taught it 40 years ago.

Yet while the selling process might not have changed all that much in many decades, other aspects of organizational life have. Today, forward-thinking organizations are becoming more open. So here I will explore how the open organization principles[1] of transparency, adaptability, collaboration, inclusivity, and community influence the traditional selling process.

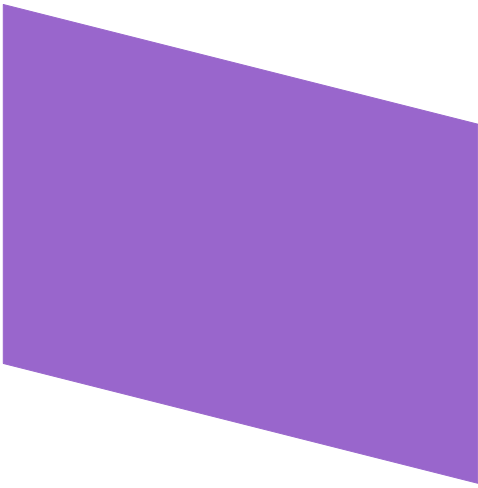
And today, Customer Relationship Manager (CRM) technology has matured to offer salesperson assistance in ways that simply weren't possible 40 years ago. So I'll also pay special attention to how modern CRM systems might enhance the selling process, especially in organizational environments that embrace greater openness. In some cases, capabilities I describe are already available today; I've noted them in my research on contemporary CRM. In other cases, my descriptions might be more speculative as I imagine what *might* be possible with additional application and enhancement. I'll leave this to the current generation of savvy salespeople.

In the end, I'll explain how sales managers can use that process to improve sales performance, especially by leaning into the open organizational principles that are reshaping organizational cultures globally.

A few notes before we begin: I designed this process specifically for selling expensive, durable products that will be in use for years. It is also for salespeople who sell through distribution to retailers or wholesalers with whom you want to build long-term relationships. It is not for everyday goods (like bread), which you can simply discard without much consequence should you be dissatisfied. Furthermore, this process is not only for sales department employees within corporations. They could be manufacturers' representatives, freelance salespeople, or people within open organizations who are trying to satisfy particular customer needs.

I've learned a few new things since 1985, too. In this guide in particular, I'll draw on resources from two books: *Trailblazer: The Power of Business as the Greatest Platform for Change* by Marc Benioff and Monica Langley[2], and *Customer Relationship Management: Transforming Businesses Through Effective Customer Relationship Management* by Cassandra M. Cohen[3].

Let's get started. ◕



1 https://theopenorganization.org/definition/open-organization-definition/

2 https://www.penguinrandomhouse.com/books/605305/trailblazer-by-marc-benioff-and-monica-langley/

3 https://sclondonlibrary.librarika.com/search/detail/10651787

Fishing for customers

I've been teaching this 11-step selling process for years. Let's consider how open principles could play a role in each step.

Imagine a lake high in the mountains. You'd like to catch and harvest the fish in the lake. The lake has a single outlet that flows into a river. At the outlet is a water wheel with pockets that collect the water flowing out of the lake. Sometimes, these pockets also collect fish.

Now imagine you're a salesperson, and think of the fish as customers who specifically need what you have. Each pocket of the waterwheel and the lake are steps in the selling process. You simply find and contact. You meet with them and try to make a good impression. Then, you find out what the customer needs, wants, and can afford. You also try to understand the customer's overall situation, because needs and desires may arise that neither of you had considered.

Using the information gathered from the customer, you select an appropriate product, present it, and demonstrate its features to confirm that it meets the customer's needs. Then, you negotiate the sale, close the deal, and deliver the product to the customer. After some time has passed, you contact the customer to ask if everything is going well, if the customer is satisfied with the product and the company that supplied it, and if the customer is satisfied with your support.

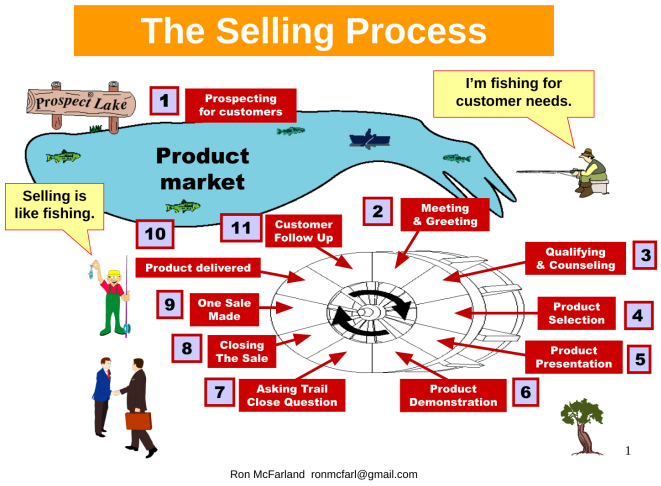


Figure 1: The selling process. Image © Copyright Ron McFarland. CC BY-SA.

These are the activities salespeople should be doing (see Figure 1). The sales manager, coach, or leader must manage this process. If done well, salespeople should never find themselves with nothing to do. Whether in a down or expanding economy, the salesperson will always have activities to work on, and the manager must ensure this. In fact, the opposite may be a concern: a manager could overwork a salesperson and must be able to identify when the salesperson needs time off to relax and recharge.

Even if customers don't know exactly what they need or what is available, they have needs and wants. As a salesperson, it is your job to either satisfy customers' needs or inform them that you don't have what they need and help them find someone who does.

I must make this point clear. Salespeople must complete these steps in this strict order, from Step 1 to Step 11. Some steps take a lot of time; others can be completed in seconds. Salespeople should not skip steps. For example, they should not go straight to Step 8 and start negotiating a price. If the customer asks about pricing, you should respond with a question from Step 2. And each step must be completed in a way that best embodies the open organization principles of transparency (identifying customer needs), adaptability (adjusting strategy based on new information), collaboration (asking and answering questions), inclusivity (incorporating unexpected expertise when needed), and community (building human relationships).

Now let's take a closer look at each step.

Step 1: Prospecting

In this step, you must meet as many people as possible who have the need, desire, and ability to purchase the product or service being offered. The best way to do so is to obtain a list of individuals who meet these criteria. If this list doesn't exist, you must create it. You could present at trade shows or exhibitions to generate interest in the offering. You could also create a filing system for potential and current customers to ensure regular contact with them.

In addition to trying to contact as many potential customers as possible, through advertising, direct mail, newsletters, email, website promotions, and referral source activities, you could be contacted by customers, further increasing the number of contacts. This step of increased potential contact improves transparency, as

it exposes the offering and you learn what people need—even people you've never met. It improves adaptability, as you can find new concerns, if what you now offer is no longer needed. It improves collaboration, as you open and expand discussions with new people. It spreads inclusivity, as you bring strangers into the discussion. And it builds community, as you expand your network of people that need what you're offering. Therefore, in Step 1 all open organization principles play a role.

CRM and prospecting

Between 1985 and 2001, I traveled and conducted sales training in more than 60 countries in Africa, the Middle East, Southeast Asia, Latin America, and Europe. Now, I ask: How could today's customer relationship management (CRM) systems support salespeople in this process? Let me explain in more detail.

CRM systems help you, as a salesperson, gather information faster than other methods. These systems select useful information and delete unnecessary, valueless data. They increase the volume of information that could not be collected manually. And they find and present information that neither you nor your customer thought about, which may come as a surprise to both. CRM systems filter information around a specific customer's needs, concerns, wants, and desires, bringing it all together into one easy-to-access location.

> CRM systems help you, as a salesperson, gather information faster than other methods.

All of this helps salespeople find customers more easily. A CRM system could compile a high-quality list of potential contacts, inform you when to contact them (morning, midday, or evening) and advise you on how to contact them (email, telephone, or direct unscheduled visit). It could also help in a promotion plan to get the customer to contact you, like direct message, TV advertising, radio advertising, or current customer referrals.

A CRM system has three principal functions:

1. **Manage current and future customer contacts.** To follow up with customers regularly, you must regularly input information into the system. Otherwise, your relationship with them will weaken. Once the information is entered, the CRM system should prompt you to contact the customer at a certain time and ask a specific question. This keeps you, your company, and your product in the customer's mind.
2. **Help project how markets evolve and help us prepare for new challenges.** In this way, a CRM performs an analytical function that assists you as a salesperson.
3. **Routes information to departments or individuals that may be impacted and/or contribute to a discussion.** Here a CRM system actually encourages collaboration between organizational stakeholders[4].

With a CRM system, you can divide your list of leads into specific segments, such as corporate, government, or single-owner customers; customers in various industries; customers in various regions; or customers with specific product use applications. It could also help determine the best promotional activities for encouraging customers to contact you. Furthermore, it can help you determine which questions to ask customers. With all that information, it could help determine a reasonable number of contacts to make every working day. Additionally, it can suggest incentives to motivate all salespeople in the organization. In some cases, a CRM system could even determine the ideal way to meet a customer, including how to dress and act.

Step 2: Meeting and greeting

Now that you have completed the first step and are contacting multiple people every workday, the next step is to meet with prospects and make the best impression possible so that the customer will remember you personally (and you, likewise, will remember him).

To do that, after scheduling an appointment to see him, clear your mind of all other thoughts, worries, or ideas before you finally meet. Remember to focus your attention on the customer. Observe your customer's gestures, voice, posture, expressions, and behavior. Determine if he speaks voluntarily or is quiet. Then,

4 See the video "What is CRM? (https://www.youtube.com/watch?v=H6htt_I2Ddk) for more detail.

match your behavior to his to make him feel comfortable. Ask non-threatening questions to get him talking about himself, not the product or service he may need at this time. Furthermore, consider the impression you want to make with your clothing, posture, cleanliness, and how you speak. Smiling, maintaining eye contact, and listening to how he is feeling also helps.

In this step, the customer should do 80 percent of the talking, while you ask questions and share information about yourself to build trust. This could take 30 seconds or 10 minutes, depending on the situation.

Regarding the open organization principles, consider this:

Transparency: You want to learn about the person you're meeting and let him know you can be trusted.

Adaptability: As the relationship matures, you should adjust your discussion to focus on what makes the customer comfortable and interested.

Collaboration: You should work toward an open discussion by sharing both your personal situations. This should generate deep collaboration on shared interests.

Inclusivity: You're bringing yourself into his world and him into yours.

Community: As the relationship progresses, hopefully you will be able to interact in his contact network and him into yours.

CRM and meeting customers

One key to modern-day selling efficiency is to meet someone online or virtually first. This saves time when the salesperson finally meets the customer in person. A CRM system can generate a profile of your most common customer to facilitate that virtual meeting. Furthermore, based on the profile of that common customer, meeting and greeting simulations could be tailored to help new salespeople make positive first impressions. So a CRM system could potentially accelerate the process of making a good first impression before meeting the customer in person. This should significantly reduce the effort required of you.

So far, we've covered how to find customers and the importance of meeting and getting to know the customer personally. Hopefully, after building some level of trust, next you can focus on counseling the customer and learning the customer's needs, wants, and ability to buy.

Step 3: Counseling customers

Everyone is involved in selling all the time—unless we don't know anyone. Whether they are friends, family, or acquaintances, people are always making suggestions, asking for things, offering things, sharing information, and helping each other, just like in sales.

Now that you and the customer have gotten to know each other, you must first determine the customer's dominant buying motive before making any product recommendations. This motive is the first thing the customer mentions when asked what the customer is looking for. The customer may give several reasons, but the initial response is usually the most important reason to buy.

Ask open-ended questions, which require an explanation to answer rather than a simple "yes" or "no" response. Continually using open-ended questions will keep the customer talking most of the time, allowing you to listen intently while reducing mental and environmental distractions. Look for nonverbal cues about the customer's feelings. Hopefully, you will be able to select the best product for the customer and the features to present based on what you have learned.

Sometimes, you might not have anything that would be of interest to this customer, and you might not know how to help. In other cases, you could introduce the customer to someone who *could* help. Regardless of the outcome, hopefully the customer will respect and trust you. This trust could lead to a different opportunity in the future.

Regarding the open organization principles, consider this:

Transparency: Your questions and interactions could generate a lot of information. Concerns that the customer never considered could arise. This leads to even more disclosure, more transparency, and (hopefully) greater trust.

Adaptability: The discussion may reveal to you that a different approach is necessary. You and the customer may agree that they must adapt based on the new information you've each learned.

Collaboration: This counseling step is when the greatest level of collaboration takes place. However, it doesn't end here, as collaboration continues throughout the entire selling process through a series of need confirmations.

Inclusivity: Before selecting a product, include as many people as possible who will be impacted by the purchase. In the commercial vehicle business, which deals with fleet customers, you should talk to more than just the person buying the vehicle. You should also talk to the drivers and, if the customer has a maintenance facility, the workshop staff. Important ideas might come out by including those people in the discussion.

Community: While this discussion is going on, you are building a network of acquaintances—people you can go to from time to time. They can also come to you if they have concerns. This community might be important.

I have spoken with automotive dealers and megadealers who have salesperson training programs, and nearly all of them believe that this step is the most important. Too many salespeople assume what customers need without asking, because they are so focused on product features and making the sale. This step forces salespeople to focus solely on the customer.

Remember that at the outset of this activity *a conflict of interest exists between customers and salespeople.* When they first meet, the customer's interest is in solving a problem, while the salesperson is interested just in getting to know the customer personally. At this stage, however, the salesperson should *not* focus on selling a particular product. Instead, the salesperson should focus on getting to know the customer and understanding the problem (or problems) the customer seeks to solve—not on making product recommendations.

CRM and counseling the customer

A CRM system can generate questions you can ask members of their growing "customer community," accelerating the process of determining their needs and wants. Higher-quality questions can also draw attention to issues and opportunities that neither you nor the customer had previously considered. You can compile the information you glean during the consulting process and research it further, in order to determine the overall needs and wants of potential customers for each product (including how customers prefer to purchase products). It could even help you determine the best contact method: Before contacting the customer, you can estimate primary buying motives, which leads to better questions (for example, "when it comes to commercial vehicles, which is most important: fuel economy, reliability, durability, safety, comfort, or design?").

If you're a salesperson, a CRM system helps you build, manage, and maintain a professional network of experts—a critical resource when you're serving as a counselor to customers. When customer conversations raise issues you can't personally address, you can turn to the network you've curated in your CRM system for specialized expertise. This expertise network extends exponentially: your contacts likely know additional experts, who in turn know even more, creating a vast web of knowledge you can consult (ideally within hours). In this way, you're working to bring your network's expertise to bear on the customer's challenge, reinforcing your role as a counselor.

Step 4: Selecting products

So now we see how you must get to know customers through collaboration and discussion *before* selecting the best product for them. And you must understand not only how the product will be used but also what constitutes "good performance" for the customer. Selecting the wrong product (one with irrelevant features) often creates a poor salesperson-customer relationship.

You can't select the right product for a customer without thoroughly knowing the product's important features. Therefore, studying those features is essential. It's also important to know what is currently available (and what might be available in the future).

With the right information, you can set realistic expectations for both yourself and your customer.

Regarding the open organization principles, consider this:

Transparency: Learning which products and features are appropriate, understanding customer needs and wants, and confirming what is currently available and will be available in the future are only possible through transparent conversation and investigation.

Adaptability: This involves modifying your approach and discussion to specific details while avoiding unnecessary information to streamline the selling process.

Collaboration: Product selection is the result of collaboration and discussion in Step 3.

Remember our *conflict of interest between the customer and the salesperson*. After you learn what the customer needs, wants, and budget are, you should simply select something that might be appropriate for the customer. You should still not want to get into a pricing and order-taking situation until you've fully presented the product. You are trying to help the customer understand how the product solves a problem.

CRM and selecting the right product

A CRM system can gather a good deal of information about the customer through a series of well-designed questions. It can help salespeople discover what the customer has *now* and what features the customer is *looking for* in a good product. It can even present competitor comparisons and explain the differences between various products. Armed with this information, a CRM system could suggest an ideal product and the features to highlight during a presentation or conversation. This speeds up the product selection process when you first meet the customer. A CRM system can inform you of available inventory and product features. This way, you can offer the customer some insight into delivery timelines (some products can be delivered immediately, while others will require additional time due to limited availability).

Step 5: Presenting products

A clear *presentation* and *explanation* of the correct product makes negotiation even easier. The better the explanation, the less likely there will be misunderstandings later on.

You should explain not only the product's basic features, but also the customer benefits, and confirm that they are important to the customer. Tailor the presentation to the customer's buying motive. Do not introduce the product until you fully understand *whether* and *how* the customer will use it.

> Remember that showing is better than telling, and letting the customer operate the product is even better than showing something.

Remember that showing is better than telling, and letting the customer operate the product is even better than showing something. A good presentation takes practice. Just as an actor rehearses his lines or a tennis player practices his serve, you should practice your presentation. You are like a teacher; if the customer (your student) learns well, they will become more trusting, and you will have a better chance of making a sale.

Regarding the open organization principles consider this:

Transparency: If the presentation is done well, customers will have more confidence in buying what they need and want. The transparency of these features adds clarity.

Adaptability: Tailoring the presentation to highlight the features that most interest the customer will confirm that this product is what he wants. Presenting too many features—or no features of interest—can actually be counterproductive; adaptation is necessary.

Collaboration: While presenting features, ask the customer if those features are important. This is a conversation. If he says he is not interested in a feature, you can ask what he is most interested in. This level of collaboration will ensure a productive presentation.

Again reflecting on the conflict of interest between the customer and you, note that after you select a product, all of the customer's attention should be focused on *why* you selected it and initiated the presentation process in the first place. Do not begin price negotiations at this point.

CRM and product presentation

Based on what it has learned about customers' needs, wants, and ability to buy, a CRM system can help develop detailed, custom-tailored presentations of the most important features, benefits, and payment plans. This allows for faster and easier development. The same could be true for developing specific presentations for various trade shows, conferences, industry association meetings, and general local exhibitions. These presentations could be coordinated with promotional activities of other departments within the organization.

Furthermore, a CRM system could create interactive role-playing presentation simulations to help salespeople prepare to confidently and effectively communicate with customers. Specific customer questions could even be developed within the role-playing presentation to help salespeople better communicate with customers. These could be questions that are not covered in the presentation, but that could be of interest to the customer. These simulated product presentations could be standardized for all salespeople.

Step 6: Demonstrating products

A good product demonstration helps build the customer's confidence in the product. Consider the experience of buying shoes: a customer is more confident in the shoes if he tries them on and walks around. A demonstration is the same as a product presentation, but the product's performance—which cannot be shown in a presentation, brochure or looking at the actual product in a showroom—is what's on display here.

In my vehicle sales seminar, I developed a demonstration route for salespeople. They would drive to specific locations and show performance features, such as driving up a hill to demonstrate gradeability or driving on a crowded street to demonstrate side-to-side visibility. In my seminars, the salespeople first drove the route, showing the features along the way. Then, the role-playing customer drove back to the dealership.

Similarly, when I was in the cutting tool business, I would make videos on product performance, and I would set up demonstrations at trade shows. I had the most success here by simply giving the customer a cutter and some basic instructions so the customer could feel how it performed.

A limited-time trial of computer software can also be considered a demonstration. First, there is a presentation or instruction sheet explaining how to use the software to achieve optimal results. Then, customers have the opportunity to use the software and see how it performs for a short period of time. The better the software performs and the easier it is to use during that period, the easier it will be to negotiate pricing and terms of payment.

Regarding the open organization principles, consider this:

Transparency: The demonstration lowers barriers to understanding and increases transparency regarding the product's capabilities, building confidence.

Adaptability: If a product doesn't perform to the customer's requirements during a demonstration, you can learn what the problem is and consider different specifications.

Collaboration: While giving the demonstrations, you can further discuss what the customer likes and dislikes.

Inclusivity: In some cases, *everyone* that will be using the product can get a product demonstration. This helps confirm that the product will perform to everyone's satisfaction.

Once again, recall our *conflict of interest between the customer and the salesperson*. After you present the product, you should try to demonstrate exactly how the product works. Here again, you should not be talking about pricing and payment terms.

CRM and product demonstration

Product demonstrations are essentially hands-on activities. However, a CRM system could help develop a series of product performance simulations centered on the primary features that customers discussed during the counseling step and confirmed during the product presentation.

For example, a CRM system could create interactive demonstrations of the product in action, visualizing the expected performance. These simulations can demonstrate how the product's key features perform. It can also illustrate the difference in performance between the customer's current product and the proposed new product. These demonstrations could be standardized for all salespeople, covering all major features, and then modified depending on customer needs.

To make demonstrations more impactful, before a customer meeting a CRM system can prepare vivid simulated demonstrations illustrating overall product performance. To make a demonstration realistic, devices such as goggles and gloves with sensors can be used to allow a person to physically operate the product. When the salesperson meets the customer in person, he can then give him a real hands-on demonstration. Customers must be instructed to follow a very strict procedure to ensure they fully experience the key features. In some cases, this will make sure, even after the purchase, the customer knows how to get the most out of the product.

In addition, a CRM program could research what normal or ideal performance should be for each product and compare it to others on the market. In a virtual environment, a demonstration could also be done with competitor products so that users can feel the differences. When a great deal of specialty product knowledge is required over and above the general salesperson's level, the company might hire, train, and assign specialty demonstrators.

Step 7: Asking the question

To confirm that we've determined what the customer wants, and that we've explained and demonstrated our suggestion, we could ask a "trial close question." A trial close question confirms that we haven't made any mistakes in previous steps of the selling process. Examples of these questions are:

- "If we can get this product at an acceptable price, would you buy it today?
- "When would you like to start using the product?"
- "That concludes my presentation of the product.
- Do you have any last questions or concerns, or can I move on to pricing and terms of payment?"

If the customer responds negatively, then the salesperson must find out why (there is always a reason). Perhaps you didn't qualify the customer correctly and found out that he is not interested in this type of product. Maybe the customer doesn't have enough information about the product, and you selected the wrong specifications. Or maybe the customer lacks confidence in the product's performance and needs a demonstration of how it works.

For very complicated products and projects, the above steps often require two or three visits and meetings—perhaps even more. Therefore, all previous discussions and information must be reviewed and confirmed as new data, information, and attitudes may have emerged.

Regarding the open organization principles, consider this:

Transparency: This step confirms the agreements and clarifies both parties' positions. You don't want to start negotiating before the needs of both parties are fully confirmed.

Adaptability: This step confirms you should either move on to pricing discussions or make adjustments and move in a different direction.

Collaboration: This step provides an opportunity to discuss the product further and determine what the users need. Do not turn the discussion to pricing and finances until the right product for the customer has been confirmed.

CRM and trial close questions

In a virtual environment, can a CRM system develop questions to confirm a customer's need, want, and ability to purchase a specific product, so they can be used at the appropriate time? It is important to receive this confirmation before discussing price. This will confirm that you have done a good job of introducing yourself and building trust. You confirmed what the user wants and can afford. You have also presented and demonstrated what the customer will receive and confirmed he understands the product. You confirmed that there are no further questions about the product, your company, or you.

Before meeting the customer in person, the CRM system could generate ideal trial close questions to address any unforeseen concerns and keep the selling process moving forward. This will save you from having to think of a trial close question for each customer.

Step 8: Closing the deal

After completing all the above steps, it's time to close the deal. As I hope I've adequately stressed by now, reaching this stage too quickly is not a good idea. First, spend time getting to know the customer personally. In some cases you may also wish to ask the customer whether others will be influenced by the purchasing decision, then get to know those parties and their concerns as well. Occasionally during these discussions new ideas and interests might materialize. After getting a good understanding of the customer's interest, you should select, present and demonstrate the product most appropriate.

Finally, then, after achieving all these tasks, you can move to closing. Once price negotiations begin, returning to earlier stages of the selling process can be very difficult.

Closing the sale should address several issues, including:

- Determining the final price
- Payment terms
- Reasons for buying now

If you have executed the previous steps well, closing should be straightforward: document the agreement already reached. The customer will buy if they understand the key features and accept the price and payment terms.

During this transaction, you are responsible for the following:

- Presenting a written offer and asking the customer to approve it
- Determining any objections
- Asking the customer if he or she will buy if the objections are resolved
- Getting a signed counteroffer from the customer if he or she objects to some conditions

Always leave the door open for further discussion. In most cases, you, as a salesperson, are an agent of the employer and should not refuse any offer. If you must negotiate with a customer, start at the advertised price. Ask what price the customer would agree to, and don't lower your price until the customer raises his. Instead, work to justify the price with the features you're offering. Focus conversations on the value a customer will derive from the product, not merely on prices. If you must lower your offer, do so slowly and always provide a reason for the reduction.

Remember that the negotiation should not be adversarial. You want to reach an agreement both parties can live with happily. You should be working on behalf of both the customer's and your interests. Truly, even these conversations should have an exploratory feel to them. Exploring customer objections can be educational for you. Bottom line: negotiate in such a way that you and your employer maintain good relationships with the customer, even if you can't reach an agreement.

Regarding the open organization principles, consider this:

Transparency: By documenting all agreements, you are making the conditions of sale clear and transparent.

Adaptability: If you have to negotiate or adapt to counter proposals, you should have a predecided plan for doing so, ensuring you're continuing to add value for all parties.

Collaboration: While explaining the agreement, you can review what you learned about the customer and what product features he values. This written confirmation can open up further collaboration if need be.

CRM and closing the deal

A well-developed CRM system could create sales documentation faster than an individual can. It could also create counterproposals, alternatives, or options in pricing, finance, terms of payment and delivery that might be more acceptable to a given customer. It could even offer more up-to-date competitor pricing comparisons. And it could estimate service and maintenance costs of older models if the customer is thinking he should keep his current product in operation.

If a new salesperson is not comfortable in price negotiation and such, a CRM system could develop training and role playing simulations. Through repeated role playing, rehearsing and practicing this closing situation, a new salesperson's confidence strengthens.

Step 9: Making the sale

For a salesperson, one sale will not make a career. At this point, you must convince customers that this is not the end of the relationship.

Most of the time, a sale benefits both you and the customer. It's a "win-win" transaction. You get the sale, and the customer gets the desired product.

However, if you convince the customer to buy a product and the customer is unhappy for some reason, it's a "win-lose" situation, and you may lose all future sales. A competent salesperson should never attempt to make a sale if he knows the customer will not be fully satisfied. This applies even if the sale would be profitable for him and his company.

If you convince the customer to buy a product at a loss to the company ("lose-win"), you will not be providing for the company's future. This could negatively impact after-sales support activities.

And if a sale is not made because you did not perform well in each step of the selling process, you will probably lose the sale, and the customer will miss out on the benefits of a quality product ("lose-lose").

CRM and making the sale

Throughout my training career, I have also taught service advisors. These are the people who greet customers who come to automotive workshops for vehicle repairs or maintenance. One of the advisor's jobs is to recommend additional services the customer might need, as increasing additional items on an invoice increases the profitability and productivity of service operations. Because of these additions, the service company could offer discounts. Also, the customer doesn't have to come in a second time to address these additional concerns. For example, during an oil change, the brake shoes could be inspected, the tires could be rotated to reduce wear, and the engine could be checked for leaks. A well-developed CRM system could suggest additional services a customer might wish to explore.

Step 10: Delivering products

Maintaining a positive relationship with customers is vital for continued business. This step takes Step 2 (meeting and greeting) a step further, making the product delivery experience an opportunity for customers to build relationships with others at the company.

You should confirm the quality of the initial product a customer has purchased. For example, when I was teaching truck sales, I recommended that the service department inspect the vehicle and deliver it first to the salesperson. The salesperson had a checklist to inspect the vehicle for basic functions. After confirming that everything checked out, the salesperson would call the customer to inform him that the vehicle was available for pickup.

Next, the salesperson should be sure to help the customer connect with (and get to know) the people with whom he'll be interacting in the future. For instance, when a customer came to pick up a vehicle, he was introduced to the people within the company with whom he might interact. In vehicle sales, for example, it would be the service manager and the parts manager. They would be responsible for warranty issues, service, and maintenance.

> One problem in any organization is that many employees don't know who the customer is or what is needed; they are only involved in a very specific organizational function. However, *all* employees should know who their company's customers are and what concerns them.

Finally, use this step as one final opportunity to reinforce your relationship with the customer. At the vehicle dealer's, we'd take a photograph of the customer and the salesperson alongside the vehicle before the customer took possession of it. We made three copies of it: one for the customer (sent with a thank-you note), one for the salesperson's customer files, and one for a testimonial or displayed on the customer wall.

Regarding the open organization principles, consider this:

Transparency: During product delivery, new information becomes transparent, like the capabilities of after-sales support personnel.

Collaboration: The delivery can open up new avenues of collaboration with after-sales staff.

Inclusivity: The delivery includes new people into the support for successful use of the product.

Community: The delivery can be the start of building a product support community.

CRM and delivery

One problem in any organization is that many employees don't know who the customer is or what is needed; they are only involved in a very specific organizational function. However, *all* employees should know who their company's customers are and what concerns them. During delivery, a customer often interacts with employees performing a variety of different roles. A CRM system could streamline this process and encourage other departments to improve the customer experience. For example, automated introductions can provide a broader view of potential issues. Also, implementing a CRM application could standardize the delivery system and develop a training program that covers all related departments. This would ensure that all steps and procedures are followed and adjusted as needed. This would improve both productivity and customer satisfaction. For example, automated warranty, service, and maintenance schedules could be set up after product delivery.

Step 11: Following up

This step begins after the customer has taken delivery and has used the product for some period of time. Customer follow-up is extremely important for you, as it will make your job easier in the future, in several ways:

4. You will ensure the customer is satisfied with the product.
5. You could get repeat business.
6. You could receive referrals from customers.
7. You could use satisfied customers as testimonials.

After the product starts being used regularly, you should mail a thank you letter or email to the customer with the photograph taken at delivery. One week later, you should call the customer to ensure the product is operating to his satisfaction, and there are no problems. You should regularly contact the customer (every one to six months) to inform the customer about new products, accessories, and promotional activities. You could also just contact the customer to provide maintenance schedule information or news that might be helpful to him. From your position, sometimes, if the customer uses the product for business, you can help him find customers or provide information that might impact his business. This is all for the purpose of ensuring the relationship remains active and valuable.

Regarding the open organization principles, consider this:

Transparency: Follow-up activities could reveal new information no one considered (or was aware of) during the selling process.

Adaptability: By contacting the customer, you might be able to learn concerns the customer has but was afraid to talk about before the sale. It helps you adjust and adapt to a new situation.

Collaboration: Follow-up activities are just one more way to interact and collaborate with the customer.

Community: Salespeople occasionally create clubs for their product owners. In these communities, they share their experiences and concerns. If they don't compete with each other, they might even consider sharing resources and experiences using the product.

CRM and customer follow-up

As I mentioned earlier, a CRM system can involve other departments in working with new customers and encourage collaboration among them. In the follow-up stage, a CRM system might implement this concept with scheduled activities. It could promote new items together, provide advice for customers who have opted to receive it, and update product users on company news and overall company happenings.

This could lead to an exploration of how well the company is doing, how well the product is performing, and how satisfied the customer is. If they are extremely satisfied, they might refer others with similar needs and desires to the company. A CRM system could even draft testimonial letters about how happy customers are with the product and aftersales service.

One of the problems many companies have is that the people in departments not directly in contact with customers don't have a feeling for the company's typical customer and what that customer is interested in; they think only of their direct area of responsibility. At a company where I worked, I encouraged the organization to develop a single statement describing the company's archetypal customer "an active cutting tool accessory national distributor that desires from suppliers quick response and close communication." We even assigned a name to this imaginary customer: "Distributor Bob[5]."

CRM systems can help research customer satisfaction with a product, the company supplying the product, and the salesforce itself—determining what is successful and what is not needed or desired. That could be reported to the salespeople to help in their customer interactions.

5 I wrote an article on this issue, called "Your Organization in One Sentence (https://coachingbuttons.com/2025/03/03/onesentence).

A CRM system could even help salespeople follow up with customers after the sale. For example, it can help them prepare thank-you letters with pictures taken during product delivery. By organizing customer ownership files, the systems might help salespeople develop ideal times and methods for scheduling contacts. During these interactions, the CRM system could suggest ways to ask about customer satisfaction and how the product is being used. If appropriate, the CRM system could suggest when and if to ask for referrals. Prospecting requires regular follow-up (which returned us to Step 1), and a CRM system can help manage this process to reduce missed opportunities.

Managing interests (and controlling the process)

As you can see, these steps are time consuming. And customers might not want to spend this much time; they may just want to get a price from you and leave.

However, recall one more time our conflict of interest between the salesperson and the customer: As a salesperson, you want to do several things the customer may not want. For example, you want to build a good personal relationship with the customer. You want to foster a positive relationship between the customer and your company. You want to make sure you know what the customer needs and wants. So stick to the process—and whenever possible, redirect the customer back into it. ◕

Open leadership skills for sales managers

Sales managers are instructors, coaches, and bosses. Thinking like open leaders could expand their relationships with salespeople.

By this point, you might be asking what all these procedures have to do with open leadership[6] and coaching. In this section, we'll explore that connection.

> Open organization principles come alive in many of these activities.

After conducting selling process seminars for three to five years, I learned that the vehicle dealerships I was training were not hiring the right type of people to perform those selling steps. So then I developed a seminar for sales managers called "Managing the Selling Process." Sales managers must hire, train and supervise their salespeople in their daily activities to fully cover their assigned markets, which means they have to follow a selling process. Managers can't just *order* salespeople to sell, as sales are dependent on many things that are out of the salesperson's control. But the manager can encourage salespeople to perform specific sales activities—like those eleven steps.

That requires both open leadership and coaching skills.

Selling as a skill

The selling process I outline is a skill that must be learned and practiced, something people want to do.

So the first thing sales managers must do is find people that truly enjoy meeting and talking to a lot of people every day—and want to get good at it. For some, meeting a lot of people is exhausting. This selling process favors individuals who enjoy interacting with many people and are energized by those interactions.

Performing skills well requires repetition. In the acting profession, this repetition is called rehearsal. In the military, it's called drills. In the legal profession, lawyers call it prepping a witness. In sports, it's called practice. You cannot say that you are done with any of these skills after doing them once. Continued repetition is vital to performing the skills confidently and professionally. The best salespeople are committed to their practice.

Let's say you are that sales manager. Once you find someone like this, you must first train the new hire on the product features in which customers are most interested. You must also teach the new hire how new products differ from the current products (and from competing products). After that, you must provide selling process training and support, which includes a lot of role playing on all the selling process steps, as these are skills that improve with repeated practice.

Open organization principles come alive in many of these activities. For example, just giving a product presentation makes features on the product more transparent to potential users. And the presentation should not be one-way. Along the presentation, the salesperson should ask if these features are important to the users, which could lead more toward a collaborative discussion. If the user is not particularly interested in a product or features, the salesperson could ask exactly what he or she is looking for and adapt the presentation accordingly. In some cases, more than one person will use the product, therefore, those users too should be included into the discussion. Possibly, new needs or concerns might come to the surface that were not considered up to that point.

Sales effort sheet

Only after completing the formal training on all steps of the selling process can the work of actually *meeting* customers and selling begin. You, as the sales manager, supervise this process. To do so successfully, you and your salesperson must decide on productive activities with which the new salesperson is comfortable.

The key is transparency (a critical open organization principle). Sales managers should be clear about their expectations, and salespeople should be able to easily demonstrate the work they are putting into the selling process every day.

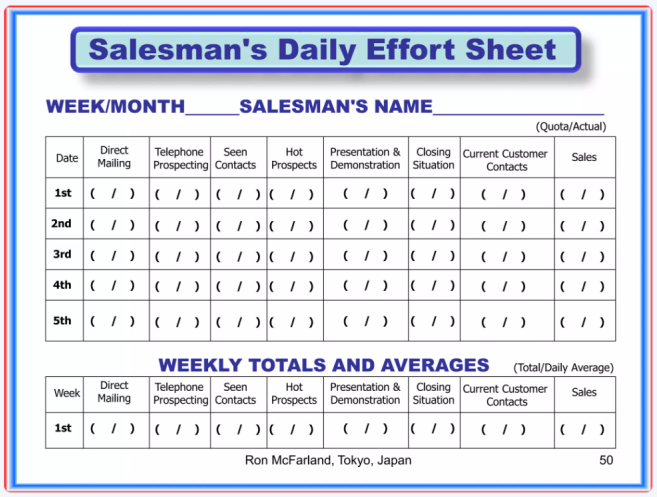
> Sales managers should be clear about their expectations, and salespeople should be able to easily demonstrate the work they are putting into the selling process every day.

Consider developing an "effort sheet" that sales managers can use to guide their sales staff's daily activities (see Figure 2). Each week, the manager and each sales-

6 https://theopenorganization.org/definition/open-leadership-definition/

person jointly decide on daily tasks in the "quota" spots and fill in the quota amounts at the beginning of the week. Throughout the week, the salesperson records his accomplishments. At the end of the week, the totals are compiled and reviewed with the manager. Then, they can decide what to do next. Also, the manager can help salespeople with any of the activities if asked. Keeping open and transparent records like this—between you as a supportive manager and your sales staff—makes conversations much easier, more focused, and more effective.

This sheet will differ for each salesperson, depending on their experience, preferences, and comfort level. It might also differ depending on the type of product the salespeople are selling. For example, commercial vehicle sales activities differ from passenger car sales activities, because commercial vehicles are purchased for nearly continuous use during working hours. Passenger cars rarely get that much use. Commercial vehicle customers may have a fleet of vehicles and their own service operation. Therefore, commercial vehicle salespeople might have to collaborate with the service, parts, insurance, and finance departments just to make a sale. Also, commercial vehicle salespeople usually work outside the dealership, visiting customers at their places of business. Meanwhile, passenger car salespeople usually stay in the showroom to meet with customers who come in. Every sales situation is different; quotas can vary greatly.



Salesman's Daily Effort Sheet

WEEK/MONTH_____SALESMAN'S NAME_____

(Quota/Actual)

Date	Direct Mailing	Telephone Prospecting	Seen Contacts	Hot Prospects	Presentation & Demonstration	Closing Situation	Current Customer Contacts	Sales
1st	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)
2nd	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)
3rd	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)
4th	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)
5th	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)

WEEKLY TOTALS AND AVERAGES (Total/Daily Average)

Week	Direct Mailing	Telephone Prospecting	Seen Contacts	Hot Prospects	Presentation & Demonstration	Closing Situation	Current Customer Contacts	Sales
1st	(/)	(/)	(/)	(/)	(/)	(/)	(/)	(/)

Ron McFarland, Tokyo, Japan 50

Figure 2: Figure 2: The salesperson's record sheet. Image © Copyright Ron McFarland. CC BY-SA.

The important point here is that even if a salesperson doesn't *close* any sales in a given week, keeping a transparent record of his activities allows you to clearly view (and, hopefully, to praise) the strong effort he *is* putting in. Likewise, if sales are significantly lower than normal, your salesperson and you must determine the reason why. And the records provide a place for those discussions to begin.

Setting the standards

With the results of several months of effort, you can start developing sales forecasts and set salesforce standards, which should be documented in writing and both clear and available to everyone (this is where you demonstrate your own *reciprocal* transparency). I have worked with three broad sales standards and objectives, which I will elaborate.

Minimum departmental standards

This is the lowest sales target for a salesperson who has completed training and several months of selling. Unless there is a good reason, a salesperson cannot stay on the team if he repeatedly sells less than the minimal departmental standard without understandable reason. Once again, putting these standards in writing and publishing them for the entire department to see makes them transparent. If they aren't written down, then the lowest level of selling that goes uncorrected will become the acceptable standard.

Individual sales targets

This is decided between you, as the sales manager, and each one of your salespeople. Based on the daily effort sheet, you will support your salespeople in any way possible to help them achieve the agreed-upon targets and maintain minimum standards.

It is very important to remember that managing, coaching and consulting strategies will change depending on the compensation method for the salesperson. People often ask me what the best compensation method is relative to sales targets: total monthly salary, total sales commission, or something in between. My usual response is that it depends. Whatever the choice, both salesperson and manager should set the targets together, collaboratively. If total salary is the preferred

compensation method, then you, as the sales manager, must work with your salesperson to perform the above activities during working time. If total commission is the preference, then you must help the salesperson understand how these activities will determine his commission, and you, the sales manager, are responsible for coaching your salesperson to achieve the target.

When considering leadership styles, we often hear about the "carrot" and "stick" approach: praise the salesperson as much as possible and incentivize them to do great work by rewarding it (the carrot), or threaten him as much as possible with the ill effects of doing a poor job (the stick). Both will motivate the person to work.

But I believe there is a third method that very few people talk about. If you, the sales manager, can train and coach the person in the selling process so well that the salesperson becomes expert in all of the steps, the salesperson will be motivated to perform them intrinsically—because he is good at it. It becomes fun for him. Therefore, no matter what the compensation, he will perform them well. As the Open Leadership Definition says of open leaders: "They work to empower others to act with genuine influence—even if this means they become obsolete in the process." This is true of open-minded sales managers who motivate not by simply rewarding or punishing, but by helping people grow.

Budgeted sales targets

The sales manager usually has a promotional budget for use in advertising, providing salesperson incentives, conducting public relations activities, and offering special customer services. The budget has to be determined depending on actual sales and profit forecasts. In most cases, this amount should be below the total sales staff's stated target, but above the dealership minimum standard. As a sales manager, you can only set these numbers when you have a clear-eyed picture of actual and projected sales forecasts, which in turn is only possible through transparency and collaboration with your sales team.

CRM and sales forecasting

A sales manager can't forecast sales using only data on a sales staff's efforts. Product competitiveness and current market demand must also be included in the calculation. This may require costly research, but a CRM system (analytical CRM in particular) might be able to help. With improved data, better budgeting and more accurate minimum sales standards could be developed.

Ready to fish?

Let's return one more time to Prospect Lake (see Figure 1 if you need to refresh). I first started teaching others how to navigate it decades ago. It's a process with no beginning or end—just an ongoing cycle. At any time, salespeople can dip into part of it and perform the activities required to succeed there. And when they do, they'll be more successful if they operate according to the five open organization principles.

Transparency, inclusivity, adaptability, collaboration, and community: These have become the cornerstones of modern selling practice, critical not just for today's salespeople but also for the people who manage, lead, and coach them. And when combined with contemporary CRM systems, they can intensify, helping salespeople achieve more with less effort. But they won't just become more productive. They'll enjoy their work more, too. ◕

About the author

Ron McFarland has been working in Japan for over 50 years, and he's spent more than 30 of them in international sales, sales management training, and expanding sales worldwide. He's worked in or been to more than 80 countries.



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